

Retail Banks

Overview

15th of February, 2024

Blanca Snella Castelan Valezuela

Wang Zhizheng, Gao Weijun, Cai Simiao
Mirjafar Seyidov

János Márk Gyennes

Main Characteristics

- Transactions with small ticket size
 - Loans: \$1000 – \$100.000 range
 - Deposits: \$100 - \$100000
- Many costumers → Well diversified → Low probability of default
- Numerous services
- Strong Competition
- High Administrative Costs
- Personalized services

Products Offered

- Transaction Accounts
- Savings Accounts
- Cards (Debit, Credit)
- ATMs
- Personal loans
- Cheques
- Loans (Mortgages, Equity, Car)
- Deposits
- Insurance (health, travel, ...)

Recent Tendencies

- Digitalization
- Increasing concentration in fintech

Country Specific Issues

- China: Traditional Banks vs Investment Banks
 - Risk control consideration
 - Transformation (from physical to online)
- Mexico:
 - Backbone of the banking system
- Azerbaijan:
 - Traditional banks, no investment banks
- Hungary:
 - High concentration in the Market (2-3 main actors)